

INTERNAL AUDIT REPORT

Anti-Fraud Investigation Audit | Report No. AR-02327

Report ID:	AR-02327
Audit Type:	Anti-Fraud Investigation Audit
Report Date:	November 26, 2023
Audit Period:	2022-12-11 to 2023-11-05
Lead Auditor:	Kelsey Sawyer (EMP-46532)
Reviewed By:	Joel Perez (EMP-3660)
Primary Vendor Reference:	LucentBridge Technologies LLC (VND-03428)
Subject Employee Reference:	Luis Baird (EMP-68410)
Primary Transaction Reference:	TXN-C731498509
Overall Risk Rating:	HIGH

1. EXECUTIVE SUMMARY

This anti-fraud investigation audit covered the period 2022-12-11 to 2023-11-05 and focused on transactions and approvals associated with vendor LucentBridge Technologies LLC (VND-03428). No material control deficiencies were identified. Minor observations are noted in Section 3 for continuous improvement purposes. Overall control environment is assessed as **HIGH** risk.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C731498509 (amount 1,514.30 INR) was selected as a key test item.

3. FINDINGS

No significant findings were identified during this audit cycle. The following observations are noted for informational purposes:

Finding ID	Severity	Category	Description
FND-000018	LOW	VENDOR RISK	BLACKLISTED vendor VND-VND-04104 received payment of \$391,496 via contract CON-108657 that was not updated following blacklisting.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-000057	DNS LOG	EVD-QLR-0046	0.66
EVI-000765	APPROVAL RECORD	EVD-QBE-0073	0.50
EVI-002778	APPROVAL RECORD	EVD-FLK-1029	0.72
EVI-004553	HR RECORD	EVD-DZT-1418	0.98
EVI-005387	COMPLIANCE RECORD	EVD-WUG-5316	0.93
EVI-005537	AUDIT REPORT	EVD-ESS-2658	0.96

5. RECOMMENDATIONS

- Implement receipt-matching automation for expense claims above the policy threshold.
- Strengthen segregation of duties between transaction initiation and approval functions.
- Escalate repeat policy violations to the Risk Committee for disciplinary review.

6. MANAGEMENT RESPONSE

Management partially agrees with the findings; a remediation plan has been submitted for review by the Audit Committee.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Kelsey Sawyer	EMP-46532	2023-11-26
Reviewing Officer	Joel Perez	EMP-3660	2023-11-28